



Here is how this framework works:

Step 1

Gather Financial Data

Gather the company’s past financial documents, including income statements, balance sheets, and cash flow statements, covering 3-5 years. Ensure data consistency and accuracy.



Step 2

Analyse Revenue Drivers

Break down the revenue components and examine any changes or trends over time:



**Sales volume:** Identify any fluctuations in the number of units sold, either cumulatively or by product/service line.



**Pricing:** Check if the company faced pricing pressures, discounts, or altered pricing strategy.



**Product/Service Mix:** Evaluate shifts in the composition of revenue sources (e.g., declining higher-margin products, increasing lower-margin products).



**Customer segments:** Examine changes in revenue contribution from different customer segments or markets.

Step 3

Investigate Cost Drivers

Categories and analysis of the company’s cost structure:



**Fixed costs:** Look for major shifts in fixed costs, like changes in overhead expenses, facility costs, or capital investments.



**Variable costs:** Examine fluctuations in variable costs, including raw materials, labour, and other direct costs.



**Cost of goods sold (COGS):** Analyse trends in COGS, which can indicate procurement, manufacturing efficiency, or supply chain management issues.



**Operating expenses:** Assess changes in selling, general, and administrative (SG&A) expenses, which can impact profitability.